IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA)/41/(CHE)/2021
In
CA (CAA)/36/(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

M/s. U4IC INTERNATIONAL PRIVATE LIMITED
...1st Petitioner/Transferor Company -1

M/s. VKC FOOTWEAR INTERNATIONAL PRIVATE LIMITED
...2nd Petitioner/ Transferor Company -2

And

M/s. WALKAROO INTERNATIONAL PRIVATE LIMITED
...3rd Petitioner /Transferee Company

And

Their Respective Shareholders and Creditors

CORAM:
Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

CORRIGENDUM

In exercise of powers under Rule 154 of National Company Law Tribunal Rules, 2016, the order in CP(CAA)/41(CHE)/2021 dated 25.04.2022 is rectified as under;

1. At **page 1** in the Cause title it shall be read as **"Scheme of Amalgamation"** instead of "Scheme of Arrangement (Demerger)".

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 05TH DAY OF MAY 2022

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA)/41/(CHE)/2021
In
CA (CAA)/36/(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement (Demerger)*

Between

M/s. U4IC International Private Limited
CIN: U19200TZ2014PTC035259
Reg Off:
10-12, Sidco Industrial Estate,
Malumichampatty (P.O),
Coimbatore – 641 050 ...*1st Petitioner/Transferor Company -1*

M/s. VKC Footwear International Private Limited
CIN: U19200TZ2010PTC035341
Reg Off:
10-12, Sidco Industrial Estate,
Malumichampatty (P.O),
Coimbatore – 641 050 ...*2nd Petitioner/ Transferor Company -2*

And

M/s. Walkaroo International Private Limited
CIN: U19200TZ2011PTC029228
Reg Off:
10-12, Sidco Industrial Estate,
Malumichampatty (P.O),
Coimbatore – 641 050 ...*3rd Petitioner /Transferee Company*

And

Their Respective Shareholders and Creditors

Order Pronounced on 25th April 2022

CORAM:

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners : IB Harikrishna, PCS

ORDER

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)

Under Consideration is a Joint Application filed by the Petitioners above named for the purpose of the approval of the Composite Scheme of Arrangement (Demerger) (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **M/s. U4IC INTERNATIONAL PRIVATE LIMITED** (1st Petitioner / Transferor Company), **M/s. VKC FOOTWEAR INTERNATIONAL PRIVATE LIMITED** (2nd Petitioner / Transferor Company) and **M/s. WALKAROO INTERNATIONAL PRIVATE LIMITED** (3rd Petitioner / Transferee Company) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as *'the Act'*) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as *'the Rules'*) pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed to the typed set filed along with the above mentioned applications.

2. The Composite Scheme of Amalgamation as contemplated between the Petitioner Companies involves the following parts:

- ***Part A*** – Deals with Definitions of the terms used in this Scheme and sets out the share capital of U4IC International Private Limited, VKC Footwear International Private Limited and Walkaroo International Private Limited as defined in the Scheme.

- ***Part B*** – Deals with the amalgamation of U4IC International Private Limited and VKC Footwear International Private Limited with Walkaroo International Private Limited.
- ***Part C*** – Deals with general terms and other conditions applicable to this scheme and other matters consequential and integrally connected thereto.

3. 1ST MOTION APPLICATION – IN BRIEF

3.1 The Petitioner Companies have filed the First Motion Application vide CA(CAA)/36(CHE)/2021 seeking directions for dispensation of the meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Transferor and Transferee Companies

3.2 Based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 04.08.2021 for dispensation of the meetings of the Equity shareholders, Secured and Unsecured Creditors of the Petitioner Companies based on the consent affidavits filled. Subsequent to the said order, the Petitioner Companies have filed the second motion Petition before this Tribunal on 08.09.2021 for sanction of the Scheme of Amalgamation as contemplated between the parties.

4. **RATIONALE OF THE SCHEME**

4.1 The learned PCS appearing on behalf of the Petitioner Companies submitted that the rationale and circumstances that have necessitated the proposed scheme are as follows:

4.1.1 Simplification of group structure by eliminating multiple companies and thus enabling focus on core competencies and strengthening the position of the merged entity, by enabling it to harness and optimize the synergies of the two Companies.

4.1.2 Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

4.1.3 Cost savings are expected to flow from more focused operational efforts, rationalization, standardization of business processes productivity improvements, improved procurement, usage of common resource pool like human resource, administration, finance, accounts, legal, technology and other related functions, leading to elimination of duplication and rationazation of administrative expenses.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 15.12.2021 had directed

the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (a) Central Government through the office of Regional Director (Southern Region), MCA (b) RoC, Chennai, MCA (c) the Official Liquidator and (d) the Income Tax Department Authorities and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "Indian Express", English (Chennai Edition) and "Dinamalar" Tamil (Chennai Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal vide dairy number 788 on 08.02.2022 in relation to the compliance of the order passed by the Tribunal as noted above and upon perusal of the same discloses that the Petitioner Companies have individually effected the paper publication as directed by the Tribunal in the issue of "Indian Express", English (Chennai Edition) and "Dinamalar" (Tamil Nadu Edition) on 31.02.2021. It is also seen that notices have also been served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies, Coimbatore and (iii) Official Liquidator and (iv) Income Tax Department on 23.12.2021 by the Companies. Affidavits of Service dated 08.02.2022 stating compliance of the directions of the Tribunal was filed. Pursuant to the service of

notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

7.1.1 The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, has filed his Report dated 18.03.2022 before this Tribunal. It was observed that as per the report of RoC, Coimbatore, the Petitioner Companies are regular in filing their statutory returns. Further, it is also stated in the report that no prosecution / Inspection or Investigation is pending against the Petitioner Companies. However, the RD in para 11 has made an observation, which is extracted hereunder:

> *11) It is submitted that as per Clause 8 of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Companies shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 26,00,00,000/- divided into 2,60,00,000 Equity Shares of Rs. 10 each. As per Clause 8.1, the Transferee Company has stated that it shall make payment of the fee/stamp duty as applicable after setting off the payment made by Transferor Companies as required under Sec. 232 (3) (i) of the Companies Act, 2013. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to file the amended MOA and AOA with the Registrar in the prescribed e-form upon effectiveness of the Scheme.*

7.2. OFFICIAL LIQUIDATOR

7.2.1 The Official Liquidator (In short, 'OL') in its report dated 25.02.2022, submitted that M/s. TR Visvanathan & Associates, Chartered Accountants had verified the books and accounts of the Transferor Companies. The report of the Official Liquidator states that the Chartered Accountant has examined the records of the Transferor Companies and prima facie, nothing adverse or objectionable issues affecting the Transferor Companies or its members or creditors or the public interest is noticed. The Chartered Accountants is of the opinion that the affairs of the Transferor Companies have not been conducted in a manner which is prejudicial to the interest of the members or to the public. Accordingly, had prayed to fix the remuneration payable to the Auditors.

7.3. INCOME TAX DEPARTMENT

7.3.1 In spite of notice having been served to the Income Tax department by the Companies on 03.02.2022, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

7.3.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

7.4 OTHER STATUTORY AUTHORITIES

7.4.1 It is submitted by the Learned PCS for the Petitioners that the equity shares of the Petitioner Companies are not listed with the stock exchanges, thus the Petitioner Companies do not require compliance of Listing Agreement or SEBI Rules/Regulations.

7.5 ACOUNTING TREATMENT

7.5.1 The Learned PCS for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with provisions of the Companies Act, 2013 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards. The Petitioner Companies have individually filed the Auditor's Certificate in relation to the accounting treatment proposed in the Composite Scheme being in compliance with the Accounting Standards notified under Section 133 of the Companies Act, 2013 on 26/10/2021.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1 After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory

compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation along with Company Petitions as well as the prayer made therein.

8.2 The Learned PCS for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the persons concerned and also the directors and officials of the petitioners.

8.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Transferor Companies shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(iv) The Appointed Date of the said Composite Scheme shall be 1st April 2020 as specified in the scheme. The Effective Date shall be within 45 days from the date of this Order.

(v) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme shall finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Companies, such notice of dissent, as is required by ***Clause 2 of Part – B*** *of the Scheme herein* the shares in the Transferee Company to which they are entitled under the said SCHEME.

(viii) That the Transferor Companies and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Concerned Registrar of Companies along with a copy of the Composite Scheme of Amalgamation for registration and on such certified copy being so delivered, the Transferor

Companies shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies with him along with the documents of the Transferee Company and the files relating to the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(x) That the Transferor Companies which are being dissolved are directed to pay **Rs. 50,000/-** (**Rupees Fifty Thousand Only**) each to the office of the Official Liquidator for payment towards Chartered Accountant Fee.

9. That the Company Petitions are allowed and the Composite Scheme of Amalgamation annexed with the Company Petitions is hereby sanctioned and shall be binding on the members, Secured, unsecured creditors and shareholders of the Transferor/ Transferee Companies.

10. Accordingly, the Composite Scheme stands sanctioned and CP(CAA)/41(CHE)/2021 stand disposed of.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Mohana Priya